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Greater China Industrials (H/A)

# 2026 BofA China Conference: key takeaways from China Industrial

**Industry Overview**

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Equity
Greater China
Industrials

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## CM: export growth, electrification & mining equipment

We hosted 18 meetings at our China Conference (11-13 May), across construction machinery (Hengli Hydraulic, Sany, XCMG, Zoomlion, Heli), automation (Han's Laser, Megmeet, OPT, SC New Energy, Times Electric, UBTECH, Wuxi Lead, Yiheda), HDT (Sinotruk, Weichai, Yuchai) and power equipment (Huaming Equipment). Major construction machinery players are positive about demand from overseas and forecast c.20% YoY export growth in 2026, vs. c.10% YoY growth for domestic revenue. Meanwhile, all OEMs have noticed rising demand for electric machinery since March given the rising energy prices. Across different products, Sany sees more opportunities from electric excavators/electric concrete machinery. XCMG & Zoomlion are more positive on mining machinery and expect for higher export growth. Regarding the fluctuations in USD, leading OEMs are focusing more on FX management by 1) lowering exposure to foreign currency; 2) shortening the accounts receivable period in overseas market; and 3) more scientific hedging activities.

## Automation: FA upcycle; humanoid robot on the rise

In the automation sector, FA companies, including Han's Laser, Wuxi Lead, Megmeet, OPT and Yiheda, see robust sales growth in 2026 amid the FA upcycle, mainly supported by the strong demand from AI-related, battery and semiconductor, as well as technological upgrades including sodium-ion battery, ASSB, perovskite and 3D printing. Order growth of most FA companies continued to pick up MoM in April. Han's Laser is positive on demand from consumer electronics as well as PCB. Meanwhile, management estimates its revenue from battery to increase by 60% YoY in 2026, thanks to the solid demand. On the humanoid robot front, the humanoid robot expert (Mr. Zhangyuan Lu, Co-founder of EBKernel) believes the key battlefield of humanoid robots will shift from hardware towards embodied AI and training data in 2026, with VLA + world model becoming the mainstream solution for embodied AI. UBTECH also targets significant YoY shipment growth of humanoid robots in 2026, supported by its expansion in industrial scenarios and its new product launches.

## CV & engines: AIDC products to the US; HDT exports

In the engines segment, Weichai Power is positive on its growth outlook in diesel/gas gensets. It will start the delivery of 2-5MW gas gensets to its AIDC clients in the US from 4Q26 and targets 200/>1000 units of delivery in 2026/27E. Yuchai will expands its production capacity for AIDC engines by 50% in 2026 on robust demand from Chinese clients. It is planning to export to the US as soon as late 2027. Sinotruk sees postponed delivery of HDT in Southeast Asia and Africa in the short term on fuel shortage and sees over 15% export volume growth in 2026.

CM: construction machinery

HDT: heavy duty truck

OEM: original equipment manufacturer

FX: foreign exchange

FA: factory automation

ASSB: all solid-state battery

3D: three-dimension

VLA: vision-language-action

AI: artificial intelligence

PCB: printed circuit board

CV: commercial vehicle

AIDC: artificial intelligence data center

MW: megawatt

*Please refer to page 11 for full list of abbreviations*



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# Contents

# Construction machinery

## Anhui Heli (600761 CH)

**Solid growth from Europe market**

In 1Q26, the company's revenue from Europe increased by >40% YoY. Management stated that this was mainly driven by 1) rising demand; 2) penetration of lithium battery products; 3) Heli's enhancing sales network in Europe; and 4) Heli's enhancing R&D for more localized products.

**Intelligent logistics: target to penetrate more in overseas market**

Management estimates revenue from intelligent logistics will reach c.RMB1.4bn (vs. c.RMB1bn in 2025) on the back of sufficient orders on hand. Looking ahead, Heli targets to focus more on penetration into overseas markets for its intelligent logistics products.

**Export revenue to grow by >20% YoY in 2026E**

Management estimates revenue from the overseas market will increase by >20% YoY in full-year 2026, vs. single-digit growth in domestic revenue.

## Hengli Hydraulic (601100 CH)

**Solid growth from hydraulic components with rising demand & share gain**

According to the company, demand for cylinders, pump & valves has been resilient in 2026 YTD, with its hydraulic components factories already running at full capacity. The company is actively working on capacity expansion to meet the rising demand. Across different customers, the company is actively penetrating into overseas leading construction machinery manufacturers for pump & valves and sees strong growth for its revenue from global OEMs in 2026 (likely to double).

**New business ramping up; ready for capacity**

Management estimates its revenue from ball screw & linear guide for new business will ramp up significantly in 2H26. The company has been well prepared for its capacity (China & Mexico) to support the demand for its major customer. For its existing ball screw & linear for industrial automation, management also noted solid demand in 2026 YTD with its factory running at full capacity.

**Target for >20% revenue/net profit growth in 2026E**

Management expects total revenue and net profit to grow by 20-30% YoY in 2026. For its Mexico factory, management estimates it will be still loss-making in 2026.

## Sany (600031 CH/6031 HK)

**Targets 15% revenue growth in 2026**

Management forecasts total revenue growth of 15% YoY for full-year 2026, mainly driven by export growth (i.e., 15-20%). It forecasts domestic revenue to grow 10-15% YoY in 2026. It also sees chance for a slight improvement in net margin along with an improvement in revenue structure and enhanced cost-control measures.

**Positive on growth from Africa and US**

Management forecasts its US revenue to grow >20% YoY in 2026, mainly driven by demand recovery. In Africa, it forecasts demand to remain solid and expects 20-30% YoY revenue growth in 2026.

**Progress on electrification**

The company has noticed rising demand for electric machinery (i.e., concrete machinery), especially after the recent energy price hike. Meanwhile, it has launched >100-ton electric excavators, which have received positive feedback from customers.

## XCMG (000425 CH)

### Positive on export growth

Management forecasts its overseas revenue to grow 15-20% YoY in 2026, mainly driven by solid growth in Africa, Latin America, Australia and Southeast Asia. By products, management expects higher growth from mining machinery (>50% YoY) and is positive on earth working machinery.

### Breakdown of overseas revenue

In 2025, Latin America accounted for c.24% of export revenue, followed by Southeast Asia (17%), West Asia & North Africa (14%), Central Asia (14%, incl. part of CIS area), Africa (12%) and Europe & the US (10%).

### Mining machinery to achieve >50% export growth in 2026

According to management, c.50% of its mining equipment revenue in 2025 was from the overseas market. Looking into 2026, management estimates >50% revenue growth in its mining equipment from overseas markets vs. mild growth from the domestic market. Looking into the long term, management expects margins in the mining equipment segment to improve along with an enhanced scale effect and higher revenue contribution from after-market services.

## Zoomlion (000157 CH/1157 HK)

### Target for >20%/c.10% export/domestic revenue growth

Management targets export growth rate of c.20% YoY in full-year 2026, mainly driven by Europe, Australia & Latin America. For domestic revenue, management estimates c.10% YoY growth in 2026. In particular, management is positive on demand from earth-working machinery. Management also expects net margin to improve slightly YoY in full-year 2026.

### FX loss to narrow in full-year 2026.

In 1Q26, the company recorded net loss of >RMB400mn. Looking into full-year 2026, management estimates foreign exchange (FX) loss will narrow to c.RMB200mn, mainly due to more proactive foreign exchange management and more favorable environment (mainly from non-USD currency).

### Solid growth in mining equipment

Management estimates revenue from mining equipment (mainly mining excavators & mining trucks) will increase by c.50% YoY to c.RMB5bn in FY26, from c.RMB3bn in FY25.

# Automation

## Humanoid robot expert

### Embodied AI model and data the key battlefield in 2026

In 2025, humanoid robot manufacturers accelerated their product launches and demos. Looking into 2026, the expert (Zhangyuan Lu, Co-founder of EBKernel) expects the key battlefield will shift from hardware towards embodied AI and training data. Currently, the US and China remain the dual leaders of the global humanoid robot industry: US companies are more focused on chips and AI systems, while Chinese companies have edges in hardware supply chain. Some European companies such as Schaeffler also have edges in certain high-end components.

### VLA + world model becoming the mainstream solution in embodied AI

According to the expert, a combination of VLA and world model is becoming the mainstream solution in embodied AI in 2026. VLA features a single end-to-end model for the brain of a humanoid robot, which is easy to deploy but lacks physical intuition. On the other hand, a world model learns the physical laws of the real world, with higher generalization capability and performs well in long-process tasks, which can compensate for the shortcomings of VLA. On the data front, most companies now use a combination of simulated data and real-world data, with large-scale simulated data for pre-training (mainly for locomotion) and small-scale real-world data for model fine-tune in the post-training stage.

**Supply chain: compatibility of hardware and AI model is the key**

The expert believes the compatibility of robot body components and embodied AI algorithm is one of the key bottlenecks on the hardware front. Using the right components to support the locomotion and manipulation functions of humanoid robots would become the key know-how of humanoid robot companies in the long run. Regarding the supply chain, the expert expects the supply constraints of major transmission components such as planetary roller screw and reducer has already relieved. On the other hand, the expert sees higher entry barriers for sensors and dexterous hand modules given the technological complexity.

## Han's Laser (002008 CH)

**Positive on 3D printing equipment demand**

Management is positive on demand for 3D printing equipment from its major customer. Meanwhile, the company expects the progress in orders and revenue from 3D printing to be faster than previous consumer electronics update cycle. In particular, management sees scope for revenue from 3D printing in 2026.

**PCB equipment benefiting from development of AI**

Management reiterated revenue target of RMB10bn in 2026 for its PCB equipment. In particular, management expects revenue from CCD drilling equipment (higher margin level) to ramp up in 2Q26. Long-term, management sees more upside from ultra-fast laser drilling equipment, which is more suitable for new material.

**Performance of new energy-related products to improve in 2026**

Management estimates revenue from lithium battery to increase to RMB4bn, driven by the rising demand. Meanwhile, management estimates net loss from new energy-related products (mainly solar) will narrow to c.RMB100mn in 2026 (vs. RMB300mn in 2025).

## Megmeet (002851 CH)

**Mass shipment of AI server power supply started in 1Q26**

Megmeet's revenue from power supply grew 67% YoY to RMB817mn in 1Q26, thanks to its mass shipment of AI server power supply to a US-based cloud service provider (CSP) (including 33kW Power Shelf, Capacitor Shelf, and CRPS power supply). Megmeet is now cooperating with multiple Taiwanese original design manufacturer (ODMs), and expects the progress of testing and customer verification at Nvidia & CSPs to accelerate in Rubin platform, thanks to the company's improved technology and proven track record. It also expects higher market share in the next-generation power supply technology as it transitions from a follower to an industry front-runner, thanks to continued R&D, fast response and cheaper production costs.

**New product pipeline: 800V side rack, power brick & SST**

Megmeet has already received small-batch testing orders for its 18kW power supply unit (PSU)/110kW Power Shelf products in 1Q26, and targets mass shipment starting in 4Q26 with the shipment ramp of Vera Rubin AI servers. For high-voltage direct current (HVDC) architecture, it has developed multiple products including 800V Side Rack (including battery backup unit (BBU), capacitor shelf and power shelf) and 800V-12V/800V-50V/48V-12V DC-DC converter module (power brick). It is also developing

10kV/35kV solid-state transformer (SST) for AI data center (target to launch in 2027) and 12V-0.8V voltage regulator module (VRM), which will further expand its product portfolio in AIDC.

### Legacy business: robust orderbook; resilient growth ahead

Management stated that its orders on hand in 2Q26-to-date have been robust, which could support resilient shipment growth in the coming quarters. For the full year, management expects fast revenue growth of its industrial automation/intelligent equipment business, and steady recovery of its home appliance control business.

## OPT (688686 CH)

### Targets >25% YoY sales growth in 2026

In 1Q26, OPT's revenue from 3C/battery sector was up 4%/29% YoY to RMB153mn/123mn respectively. Revenue from semiconductor/auto sector grew 171%/330% YoY in 1Q26, reaching RMB32mn/24mn respectively. Revenue from industrial AI-related system solutions reached RMB79mn, up 299% YoY and accounting for 22% of its total revenue. Looking into full-year 2026, management guides >25% YoY revenue growth, with resilient growth from computer communication and consumer electronics (3C) supported by Apple's new product launch and the AI supply chain, and solid growth from the battery sector amid the continued Capex upcycle.

### Sees rising demand from 3C in 2026-27E

3C accounted for 57% of OPT's total revenue in 2025, of which 60-70% was contributed by the Apple supply chain. Apart from the Apple supply chain, it also won RMB120mn orders of 2D vision solution from GoerTek on its production line for Meta's smart glasses. Looking ahead, management expects continued solid revenue growth of its 3C-related business in 2026-27E, supported by: (1) Apple's continued design innovation; (2) its expansion in non-Apple supply chains, and (3) the rising penetration of machine vision in the 3C industry.

### Expansion in robotics components

OPT is also expanding its product portfolio in the robotics industry, including time-of-flight (ToF) camera, stereo camera, etc. It is in talks with multiple customers in humanoid robot, collaborative robot and medical robot. Currently, the company's robot-related capabilities stand at early commercialization stage, with focus on vision-guided functions such as detection, grabbing, and positioning.

## SC New Energy (300724 CH)

### Expects RMB4-5bn new orders in 2026

SC New Energy's new orders totaled around RMB3.5bn in 2025, including: (1) nearly RMB3bn solar equipment orders from the overseas market; (2) around RMB300mn orders from perovskite solar cell in China; and (3) around RMB200mn orders of semiconductor equipment. On the other hand, orders from traditional solar technology (i.e. tunnel oxide passivated contact, TOPCon) in the domestic market declined to zero in 2025 amid market overcapacity. Currently, the company's order on hand stands at over RMB10bn, with RMB7–8bn already delivered to customers (but not yet booked as revenue). Looking ahead, management expects RMB4-5bn new orders (+14%-43% YoY) in 2026, with rising demand from the overseas market (notably Southeast Asia, Japan, Korea and India).

### Perovskite equipment orders to double YoY in 2026

SC New Energy sees rising demand for perovskite equipment in 2026, led by leading players such as CATL and GCL. Currently, the equipment value of perovskite production line is still at RMB600-700mn/GW, much higher than TOPCon (<RMB150mn/GW). Management expect this number to fall to around RMB400mn in 3 years, supported by scale effect and rising conversion efficiency. Currently, SC New Energy has c.60%

market share in perovskite equipment. Management expects orders from perovskite solar cell to reach RMB600mn in 2026, doubling YoY.

### Expansion into semiconductor and PCB

Looking ahead, management expects new businesses, including semiconductor and PCB to become new growth drivers. On the semiconductor equipment front, the company has developed wet-type cleaning, etching, and stripping equipment, and has won orders from multiple silicon carbide (SiC) fabs. Management expects its semiconductor equipment orders to reach RMB300-400mn in 2026, up from RMB200mn in 2025. The company has also developed via-filling electroplating equipment for PCB, and has started shipments in March 2026, with >RMB10mn orders likely for the full year.

## Times Electric (688187 CH/3898 HK)

### Expects stable YoY growth of rail equipment in 2026

In 1Q26, revenue from Times Electric's rail equipment business reached RMB2.7bn, up 15% YoY, largely supported by the recognition of the second-batch multiple unit (MU) procurement in 2025, as well as the rising demand from railway aftermarket. In April, China Railway announced the procurement of 70 standard sets of 350km/h (kilometer/hour) Fuxing-Series MU, slightly higher than the volume of its first batch procurement in 2025 (68 standard sets). Looking ahead, Times Electric expects stable YoY growth of its rail equipment business in 2026, given the steady growth of railway ridership and continued expansion of the railway aftermarket.

### Expects gradual improvement of IGBT pricing environment

Times Electric's revenue from power semiconductors declined 4% YoY in 1Q26 to RMB1.1bn, dragged down by the delayed revenue recognition of its high-voltage insulated gate bipolar transistor (IGBT) products used in power grid as well as the sustained price pressure in the mid- to low-voltage IGBT market. Looking ahead, management sees gradual improvement of IGBT pricing environment, which could support its ASP in the coming quarters. Its Yixing Phase III IGBT production line is now operating at full capacity, with c.RMB500mn depreciation expenses annually. Its Zhuzhou Phase III SiC production line is now under capacity ramp-up period, and is targeted to ramp up to full capacity by 2027.

### EV component margin pressure may persist

Revenue from new energy vehicle (NEV) drive system was up 77% YoY to RMB685mn in 1Q26, given its rising penetration in auto OEMs, such as FAW and Changan. That said, this business remained loss-making in 1Q26, amid upstream price pressure and the still-weak Chinese NEV market. Management believes the price pressure may persist in the near future, and the company targets to mitigate this impact by its continued product innovation.

## UBTECH (9880 HK)

### Targets >10k units of humanoid robot shipment in 2026

UBTECH targets to deliver >10k units of humanoid robot in 2026, including >5k units for industrial (mainly auto, electronics, logistics, and data collection) and >5k units for commercial and household, while the actual revenue recognition could be lower, given the >6 months' deployment period at its large customers. Management expects its delivery to accelerate after its launch of Walker S3 and its new-generation commercial-use humanoid robot. The company's production capacity has already exceeded >10k units per year, which could well support its sales expansion.

### Continued expansion of customer base

Currently, UBTECH's humanoid robots are primarily deployed in factories for tasks such as material handling. Its current operating efficiency in factories has already reached 50% of that of human workers. In 2026, management targets to expand its application to sorting and inspection. As of now, UBTECH has already been in contact with 25-30 industrial customers, mostly in the auto/3C industry. Management also expects data collection to contribute c.40% of its orders in the industrial sector in 2026.

### Upcoming product launches in 2Q-3Q26

UBTECH targets to launch Walker S3 in 2Q26, and launch new-generation commercial-use humanoid robots in mid-2026 for commercial & entertainment applications. Its Walker S3 will use Nvidia Jetson Thor in its computing module, which features 7-8x higher computing power compared to its previous version. This will enable Walker S3 to achieve 80% operating efficiency of human workers by 2026. UBTECH also targets to lower the bill of material (BOM) cost of Walker S3 to less than RMB200k per unit. This should be driven by improved product designs, more standardized components (especially servo and reducer) and the expansion of production scale.

## Wuxi Lead (300450 CH/470 HK)

### Robust orders growth in 1Q26; solid order outlook in 2026

Wuxi Lead recorded RMB9.6bn of new orders in 1Q26 (up >60% YoY), with nearly 60% contribution from domestic battery customers (mainly including CATL, CALB, EVE, REPT and Zenergy), 20% contribution from overseas battery customers, 15% from consumer electronics, and <10% from solar and hydrogen energy. It also had >RMB4bn new bid winning in 1Q26, which should be converted to new orders in 2Q26. For the full year, management expects order growth to exceed its previous expectation of 30% YoY, as its key domestic customers have raised their Capex plans in the past months, and sees revenue recognition to accelerate from 2Q26 onwards.

### Robust growth outlook from sodium-ion battery and ASSB

Management sees opportunities from its sodium-ion battery equipment, supported by potential orders of its key customers, and expects higher GPM compared to lithium-ion battery equipment. It also expects its market share in sodium-ion batteries to be higher than that in lithium-ion battery. On the ASSB front, management expects ASSB equipment orders to double YoY in 2026, reaching >RMB2bn, mainly driven by leading domestic battery makers. Management expects the GPM of its ASSB equipment to reach >50%, higher than its liquid-state battery equipment. Moreover, management also expects the demand from equipment replacement to pick up starting from 2026, considering a typical 5-year equipment replacement cycle. Management expects the order contribution from equipment replacement to reach 30% by 2027, up from only 10% in 2025.

### Expansion in the humanoid robot industry

On 13 May, Wuxi Lead signed a cooperation agreement with Beijing Humanoid Robot Innovation Center, in order to foster strategic cooperation in the field of humanoid robot. Looking ahead, Wuxi Lead targets to expand in the humanoid robot industry on three aspects: (1) manufacturing service of key humanoid robot components including actuator, reducer and dexterous hand; (2) providing automated assembly line of humanoid robot; and (3) providing real-world application scenarios for humanoid robots.

## Yiheda (301029 CH)

### Solid sales growth amid FA upcycle

In 1Q26, Yiheda's revenue was up 20% YoY to RMB746mn. Among this, revenue from the battery sector grew 45% YoY amid the battery Capex upcycle, while revenue from the 3C sector grew 5% YoY, supported by the design changes of its major customers. Revenue from the semiconductor industry grew 61% YoY in 1Q26, against the backdrop of import substitution in semiconductor equipment. Yiheda's orders and shipments remained solid in April, with demand from semiconductor sector picking up MoM. Looking ahead, management expects 20% YoY sales growth in 2026 amid FA upcycle, with 30% YoY earnings growth thanks to improving capacity utilization and opex control.

### FB business remains in development stage

Yiheda's revenue from FB (non-standard non-core component) business was largely flattish YoY at RMB115mn in 2025. Management believes its FB business is still in a development stage, with main focuses on improving its capability in automated programming and flexible manufacturing. Currently, its capacity utilization of FB production lines is still at 30%, and management expect it to improve to >50% in the long run. Management expects its GPM of FB business to reach >40%, higher than its FA business, once its annual revenue scale reaches RMB300-500mn, driven by scale effect and improved operational efficiency.

### Overseas expansion on track

Yiheda's overseas business continues to expand steadily, with Japan market contributing 40–50% of its total overseas revenue currently. Looking ahead, management also sees growth opportunities in in Southeast Asia and Europe, supported by the overseas capacity expansion of Chinese manufacturing enterprises.

# Power equipment

## Hongfa (600885 CH)

### Price hike in 1Q26 to cover the raw material price increase

Management commented that its 1Q26 gross margin has been impacted by the raw material price hike such as copper and silver. From 2Q26 onward, the negative impact from raw material price increases will gradually eliminate, with Hongfa's produce price hike since early 2026. Overall, the company targets over 10% of net margin and 15-20% YoY earnings growth in 2026.

### Enlarging product portfolio in auto sector to increase value content

Hongfa comments that in 2025 its global market share in auto relay reached 27%. To further grasp growth opportunities in the auto sector, the company chooses to provide more products apart from relay to its clients, including modules, capacitors, current sensors, connectors, fuses, etc. With these new products, Hongfa sees its value content per car will double from the current level.

## Huaming Equipment (002270 CH)

### Positive on overseas demand

Huaming is positive on overseas demand driven by power shortages, electrification and replacement needed, though Iran tensions could lead to short-term fluctuation in downstream demand. Europe/Asia accounts for 50%/30% of the company's overseas sales. The company's H-share listing is for expanding its overseas platform.

### Near-term headwinds of domestic non-grid business

Huaming's non–grid domestic tap changer business may face near-term headwinds amid softer industrial demand and a slowdown in solar installations. It is positive on digitalization and control business, and expects sales to reach over RMB400m in 2026.

### Actively managing rising raw material costs

Huaming is actively managing rising raw material costs, including by building up copper inventories in advance. The higher materials cost may offset the effort of equipment cost reduction in 2026. Management does not plan to raise ASPs and instead sees cost inflation as an opportunity to secure additional market share.

# CV & engines

## Sinotruk (000951 CH/3808 HK)

### Strong export growth in 1Q26 to Africa and SEA

Management states that in 1Q26 its exports volume grew 50% YoY, driven by the strong mining and infrastructure construction demand from Africa and Southeast Asia. During the quarter, the share of exports to Africa, Southeast Asia, Middle East, CIS, and LatAm accounted for 45%/30%/ 10%/10% of its total export volume, respectively. In April-May, the export momentum was slightly impacted by the shortage of diesel in Southeast Asia and North Africa. Management maintains the full year export volume growth guidance of over 15%.

### Europe and LatAm the next growth driver

Sinotruk states that it is positive in the growth outlook in Europe and LatAm going onward. The company targets to obtain the verification for its electric HDT in 2H26 in Europe and starts to approach potential clients in Eastern Europe. The company's products are at least 30-40% cheaper than local brands. In 2H25, Sinotruk announced a strategic agreement with Steyr, under which Sinotruk assembles HDT in Steyr's factory in Austria and sells to Eastern Europe initially. Sinotruk also sees big growth potential in LatAm, given the market sales of >200k units per year and Sinotruk's small market share (<10k unit sales in 2025). The company is planning to build a factory in Brazil and is currently selecting location. The construction will kick off as soon as 2027.

## Weichai Power (000338 CH)

### Delivery of 200/>1000 AIDC gas gensets in 2026/27E

Management states that so far it has received gas gensets orders of a few thousand units. Weichai aims to launch the 2-5MW gas genset models in 3Q26 and it takes 2-3 months to complete the EPA (Environmental Protection Agency) and UL (Underwriters Laboratories) certifications in the US. That said, it will start the delivery of 2-5MW gas gensets in 4Q26 and targets 200 units of delivery in 2026 and over 1000 units in 2027. In late 2026, Weichai will launch 5.5MW gas genset model and targets delivery from 2027. Management sees its advantages in the AIDC gas gensets partially lies in its shorter delivery time at 1 year, versus its peers' 2-3 years in North America.

### 8-10k units of production capacity AIDC diesel/gas engines/gensets by '27

Management expects to expand its annual production capacity of AIDC diesel/gas engines/gensets to 8-10k units by end 2027, with most of the capacity from China and roughly 1-1.5k units from Boudouin in France. In the long tem \Weichai will build 3-5k units of annual production capacity in the US, depending on client demand and requirements.

### Rapid capacity expansion SOFC

Weichai expects to expand its SOFC solutions production capacity rapidly in the coming 4 years to 1GW, with lots of potential orders. Based on management, its selling price will be benchmarked to that of Bloom Energy, but has lower production cost per MW. It can achieve breakeven when the annual production volume reaches 100MW. The capex of 1GW SOFC solutions will be RMB6-7bn.

## Yuchai International (CYD US)

### Capacity expansion in AIDC engines & gensets

Management sees robust power generation engine orders from AIDC clients, and the current orders backlog can fulfill all its production capacity in 2026. Yuchai plans to lift the power gen. engines designed capacity of GYMCL by c.50% in 2026, via outsourcing some processing steps and adding production equipment. The sales to AIDC clients should increase from 1.3k units in 2025 to 2k units in 2026. For Yuchai-MTU, the planned production volume for AIDC diesel engines for 2026 is 1k units, up from 750 units in 2025. The recent raw material price hike has hampered the company's margin profile, and it intends to pass through a part of the cost to clients. Yuchai started the delivery of AIDC power gensets to a Chinese client in 2025. With more orders from new Chinese clients, Yuchai plans to expand the AIDC power genset capacity to >1k units by end-2026, up from 500 units in 2025.

### AIDC engine certification in Europe, the US is set to complete

Yuchai has completed the AIDC backup engine certification in Europe and expects to start delivery in 2026. Currently, it is conducting the certification of its AIDC backup/prime power diesel/gas engine models (3MW 16-cylinder, vs the mainstream 2MW models in China) in the US, which usually takes 10-12 months. Yuchai expects the certification to be completed by end-2026 or early 2027 and start delivery in 2027. In the meantime, the company hopes to find a partner in North America to expand its sales channel and after-sales services network. Initially, Yuchai sees its selling prices to be cheaper than that of local suppliers in the US.

**Exhibit 1: Abbreviation table**

Abbreviations in the report

| Abbreviation | Full name | Abbreviation | Full name |
|---|---|---|---|
| 2D | Two-dimensional | HVDC | High-voltage direct current |
| 3C | Computer, communication, and consumer electronics | IGBT | Insulated gate bipolar transistor |
| 3D | Three-dimensional | LatAm | Latin America |
| AI | Artificial intelligence | MU | Multiple unit |
| AIDC | Artificial intelligence data center | NEV | New energy vehicle |
| ASP | Average selling price | ODM | Original design manufacturer |
| ASSB | All solid-state battery | OEM | Original equipment manufacturer |
| BBU | Battery backup unit | PCB | Printed circuit board |
| BOM | Bill of material | PSU | Power supply unit |
| CIS | Commonwealth of Independent States | R&D | Research and development |
| CM | Construction machinery | SEA | Southeast Asia |
| CRPS | Common redundant power supply | SiC | Silicon carbide |
| CSP | Cloud service provider | SOFC | Solid oxide fuel cell |
| CV | Commercial vehicle | SST | Solid-state transformer |
| DC | Direct current | ToF | Time-of-flight |
| EPA | Environmental Protection Agency | TOPCon | Tunnel oxide passivated contact |
| FA | Factory automation | UL | Underwriters Laboratories |
| FB | Non-standard non-core component | VLA | Vision-language-action |
| FX | Foreign exchange | VRM | Voltage regulator module |
| HDT | Heavy duty truck | | |

**Source:** BofA Global Research

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# Disclosures

## Important Disclosures

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| Investment rating | Total return expectation (within 12-month period of date of initial rating) | Ratings dispersion guidelines for coverage cluster[R1] |
|---|---|---|
| Buy | ≥ 10% | ≤ 70% |
| Neutral | ≥ 0% | ≤ 30% |
| Underperform | N/A | ≥ 20% |

[R1]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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